Demerits of informal organisation

1. No smooth flow of work: Working in informal organisation will not be systematic, so there will be no smooth flow of work.
2. Spread rumours: The information may adopt a casual approach to work in an informal atmosphere. This may affect the quality of work.

3.8 Line organisation

Line organisation: Line organisation is the oldest and simplest method of administrative organisation. According to this type of organisation, the authority flows from top to bottom in a concern. The line of command is carried out from top to bottom. Persons having the greater decision – making authority are placed at the top, and those having the least decision – making authority are at the bottom. In between, there are other levels of management, such as intermediate and supervisory.

Line executives are the people who are directly involved in the basic activities of an organisation.

The Superiors at each level makes decisions within the scope of the authority delegated to him by his own boss. He communicates his decisions and orders to his subordinates, and it is the duty of the subordinates to follow the orders and instructions given by his superior.

Each position in the structure has general authority over lower positions. Similarly, each position derives authority from the one above. Every person in the organisation is supposed to be accountable to one and only, who delegates authority and assign duties to him. Any departure from this may create problems. For example, if the production manager by passes a foreman and gives instructions directly to a machine-man, he may put the machine-man in a difficult position of being accountable to two persons at one and the same time. This may also upset the foreman's control over his subordinates (including this particular machine-man) in general.

In this type of organisation there is a vertical line of authority. For this reason, it is given the name "line organisation".

Types of Line organisation

Line organisation can be of two types:

1. Pure line organisation and
2. Departmental line organisation

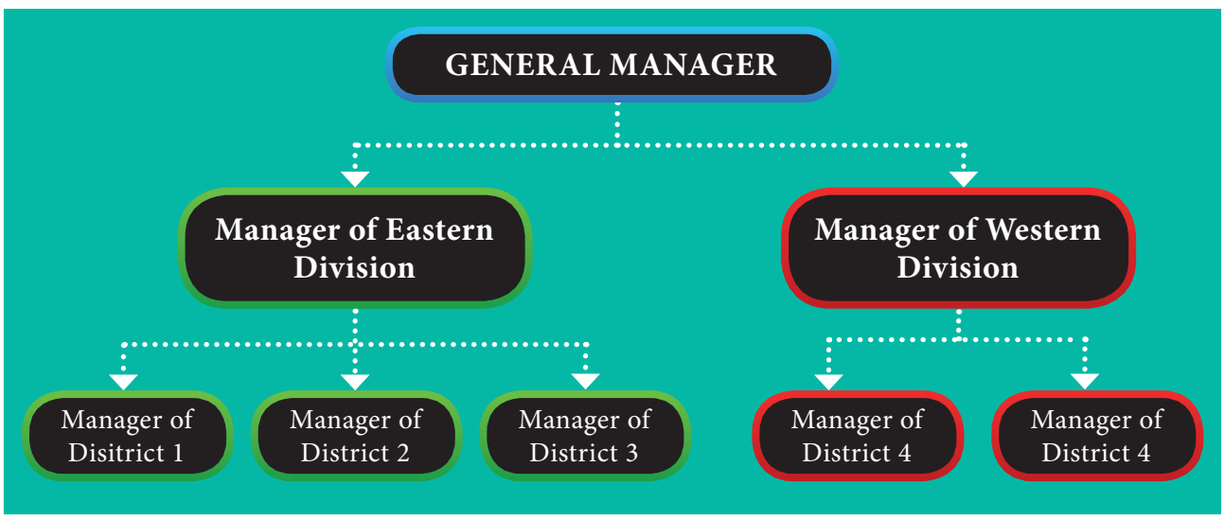


Figure 3.3 Line Organisation

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